Market View

Fed: Resolute Urgency of Now

We think the Federal Reserve will cut 25 bps (not 50 bps) at the FOMC next week (September 17), for the following reasons:

1. **No change to inflation trend** – headline CPI (August) came in slightly above expectations (+0.4% vs median 0.3% M/M expected), driven by persistent core services/shelter and energy. That print was not enough to tip the balance on an annualized basis, while more importantly, core CPI remains contained. (Supercore services only rose 0.33% vs 0.48% in July.) But we think these figures are enough to keep conservatively minded board members from taking a more aggressive approach to cuts this month.

2. **Jobs matter** - Cuts are nevertheless baked in, as this week, the Bureau of Labor Statistics revised its preliminary estimate of nonfarm payrolls lower by 911k – suggesting that the weakening in the labor market started possibly as early as spring 2024. If so, then this means the business cycle actually hit its peak in early 2Q24, while recent data suggests we may have extended that slump.

3. **Housing** - We think housing is the biggest risk factor for the US economy at the moment, as US home construction and permits have fallen to multi-year lows, even though median home prices have risen 2.9% Y/Y. Combined with the poor labor market data, this paints a gloomy forecast for the real economy from the perspective of prolonged high interest rates.

4. **Credibility** – Still, a 50 bps move would be read as an implicit admission that policy has been too tight for too long—contradicting months of “data-dependent” guidance. Gradualism lets the Committee update on additional labor and inflation prints without locking into an aggressive path. From a policy-loss-function perspective, the Fed’s risks are asymmetric: the cost of easing too much and reigniting price pressures exceeds the cost of easing too little and revisiting at the next meeting.

Chart 1: Futures now price in 100% certainty of a rate cut in September with the possibility of a 50 bps rate cut

DAT deep dive

The mNAVs of most digital asset treasuries (DATs) have largely converged to parity, with ETH DATs showing the sharpest compression since May. We think that’s evidence that the “DAT premium” is vanishing and has entered a

valuation-disciplined, PvP phase (see our latest [Monthly Outlook] for more details). The weighted average ETH DAT mNAV fell from the 5x+ euphoria zone earlier in the summer to sub-1 by early September (Chart 2). We think this pattern suggests that 1) investors now price ETH DAT equities principally as pass-throughs to the underlying reserve holdings rather than as speculative "plays" on crypto euphoria and 2) competition among issuers has neutralized most of the "DAT premium".

Chart 2. Weighted average mNAV of digital asset treasuries by asset

DAT trading volumes peaked in mid-August and cooled into September, indicating that the DAT narrative has faded at the same time valuations re-anchored to NAV. Over this window, trailing-7-day volumes across DATs fell ~55%, with ETH DATs' share narrowing alongside BTC DATs' (Chart 3). Using trading volume as a proxy for attention, we think the DAT narrative is softening at the margin, which may reduce market players' willingness to pay a speculative premium. The alignment of late-July/August treasury-purchase bursts with volume spikes—followed by crypto price consolidation—underscores the flow-driven nature of the trade: when primary buying momentum slows and macro uncertainty caps sentiment, enthusiasm wanes and mNAVs compress back toward ~1 (Chart 4).

Chart 3. T7D DAT trading volume – by asset

Chart 4. T7D DAT purchases – by asset

Despite softer volumes and compressed premia, however, balance-sheet absorption continues—most visibly in ETH—shifting the center of gravity from mispricing to flows and composition. Both DAT NAVs and the total share of supply held by DATs continued to trend up through September (Charts 5, 6), implying that DATs are still a structural demand sink for circulating supply even as their equities are priced near NAV. We think the combination of rising ownership share with mNAV ≈ 1 defines the PvP phase. Cross-sectional outcomes hinge on execution and policy choices (financing mix, treasury cadence, treatment of staked ETH), while at the aggregate level, the binding variable is simply the cadence and breadth of net treasury purchases rather than any durable equity premium.

However, we note that **the PvP stage could flip if the crypto market regains momentum**, as we think that in risk-on regimes speculative premia can reappear as transient wedges when attention outruns primary issuance. We think **the critical factor to determine whether such a regime returns could rest on [macro liquidity]**—especially the path of policy rates—which we think plays a larger role in shaping risk appetite than protocol-specific fundamentals.

Chart 5. T7D NAV of DATs – by asset

Chart 6. Share of asset supply held by DATs

Scary NPM, steady TVL

A front-end NPM supply-chain scare gripped headlines but left DeFi TVL essentially unchanged this week (Chart 7)**.** Node Package Manager (NPM) is the online library for JavaScript code that developers use to easily download and share reusable code. Earlier this week, there were major fears around a potential supply chain attack on NPM after a hacker compromised the account of a prolific NPM contributor/maintainer. Consequently, malicious versions briefly propagated through foundational packages used by countless apps—creating the impression of a vast blast radius before rollbacks contained it.

The incident specifically targeted the web distribution layer—how users reach contracts—rather than the contracts and pools whose onchain balances define TVL. Malicious front-end code can intercept approvals or misroute individual transactions, but unless it triggers persistent, large-scale withdrawals from lending markets, automated market makers (AMMs), or vaults, the aggregate balances recorded onchain barely move over a weekly horizon. **In fact, the impact was minimal— Arkham suggests only ~$1,000 of crypto was stolen.**

We think the response to this event highlights a growing hack fatigue among retail: users are increasingly treating UI compromises as transient nuisances rather than withdrawing capital or demanding a risk premium—behavior that keeps TVL and prices stable in the short run but quietly raises long-run tail risk if complacency sets in and a future incident breaches the contract layer or persists long enough to force outflows or lowers DeFi participation.

Chart 7: Total Defi TVL

Hyperliquid's stablecoin race

Stablecoin operators including Agora, Frax, Native Markets, Paxos and Sky (Ethena Labs has withdrawn) are currently engaged in a bid to issue decentralized perp exchange Hyperliquid's USDH stablecoin. Many proposals offer to share 95-100% of prospective yield generation with the ecosystem. The competition may have an impact on the HYPE token, as the protocol could potentially use these yields in the Assistance Fund for buybacks and burns, leading to sustained deflationary pressure.

As of September 11 (10:00 UTC), validators have now locked in their voting preferences for these proposals, and users with staked HYPE can (re)delegate their stakes to these validators before the final vote on September 14. The winning bid must capture a minimum of two-thirds of the total stake.

Chart 8: Polymarket odds on Hyperliquid stablecoin race

Crypto & Traditional Overview

(Prices and BTC ETF flows as of 4pm EDT, Sep 11. ETH ETF flows as of 4pm EDT, Sep 10.)

Source: Bloomberg and TradingView

Coinbase Exchange & CES Insights

Crypto asset prices traded higher over the past week, with bitcoin holding near $114K and ether around $4.4K, largely fueled by a "risk-on" sentiment driven by expectations of a September Federal Reserve rate cut. While some traders had reduced their exposure heading into September (a historically weak period for crypto and other risk assets) the positive market performance has encouraged a return of capital. Currently, market positioning appears neutral with perpetual future funding rates in the mid single digits across the majors and larger altcoins.

Trading volumes on Coinbase platform (USD)

Trading volumes on Coinbase platform by asset

Financing Rates

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